

1. 'Leontief's Paradox' is referred to when Wassily Leontief used an input-output table in order to test the empirical applicability of a trade theory and challenged its applicability. Which trade theory was being challenged?
 - A) Ricardian theory of comparative advantage
 - B) Heckscher Ohlin theory of comparative advantage
 - C) Rybczinski Theorem
 - D) Paul A. Samuelson's factor price equalization theorem
2. A commodity to be accepted as money in order to serve as a medium of exchange should include all except _____.
 - A) It must be easy to carry
 - B) It must be indivisible
 - C) It must be easily standardized
 - D) It must be widely accepted
3. Diminishing returns to capital per worker in the Solow growth model implies _____.
 - A) Each additional unit of capital given to a single worker increases the output of that worker by less and less
 - B) Each additional unit of capital given to a single worker increases output of that worker by more and more
 - C) Each additional unit of labor increases the output by less and less
 - D) None
4. A Hausman test would be used for _____.
 - A) Determining whether an equation that is part of a simultaneous system is identified
 - B) Determining whether 2SLS or ILS is optimal
 - C) Determining whether a simultaneous framework is needed for a particular variable
 - D) Determining whether the structural form equations can be obtained via substitution from the reduced forms
5. A pooled OLS estimator that is based on the time-demeaned variables is called the _____.
 - A) Random effects estimator
 - B) Least absolute deviations estimator
 - C) Fixed effects estimator
 - D) Instrumental variable estimator

6. A process is stationary if _____?
- A) Any collection of random variables in a sequence is taken and shifted ahead by time h periods; the joint probability distribution changes
 - B) Any collection of random variables in a sequence is taken and shifted ahead by time h periods, the joint probability distribution remains unchanged
 - C) There is serial correlation between the error terms of successive time periods and the explanatory variables and the error terms have positive covariance
 - D) There is no serial correlation between the error terms of successive time periods and the explanatory variables and the error terms have positive covariance
7. A relationship between real growth and changes in the unemployment rate is known as _____.
- A. Philips curve
 - B) Okun's law
 - C) Stagflation
 - D) Output gap
8. A status established by most modern trade agreements guaranteeing that the signatories will extend to each other any favorable trading terms offered in agreements with third parties _____.
- A. Voluntary Export restraints
 - B) Most favored Nation
 - C) Regional Arrangements
 - D) National Treatment
9. A stochastic process refers to a _____?
- A) Sequence of variables that can take fixed qualitative values
 - B) Sequence of random variables that can take binary values only
 - C) Sequence of random variables estimated at the same point of time
 - D) Sequence of random variables indexed by time.
10. According to adaptive expectation, expectations of future inflation are formed based on _____.
- A. Past behavior of price levels
 - B) Optimal use of all the information available
 - C) Future behavior of customers
 - D) All
11. According to Harrod and Domar growth model, one of the following is not the component of economic growth?
- A. Capital output ratio (θ)
 - B) Depreciation rate (δ)
 - C) Saving rate(s)
 - D) Output per worker (k)
12. According to the Food and Agriculture Organization (FAO) of the United Nations, cotton farmers in Africa are hurt by competition with US cotton farmers because _____.
- A) US farmers have a lower cost of producing cotton
 - B) US farmers are three times more productive than African farmers
 - C) African governments levy high taxes on their cotton farmers
 - D) The US government provides large subsidies to US cotton farmers

13. According to the Infant Industry Argument _____.
- A) Countries that allow children to work have an unfair advantage in international trade
 - B) Poor countries can foster economic development by using tariffs to protect new firms while they learn to become more productive
 - C) Costs of young firms are low because their workers lack seniority, and this contributes to comparative advantage
 - D) If a firm exports for a price lower than it charges in its domestic market that constitutes unfair trade
14. After a contractionary or expansionary fiscal policy _____.
- A) The LM curve shifts and we move along the IS curve.
 - B) The IS curve shifts and we move along the LM curve.
 - C) Both the IS and LM curves shift.
 - D) neither the IS nor the LM curve shifts
15. An economist wants to study the effect of income on savings. He collected data on 120 identical twins. Which of the following methods of estimation is the most suitable method, if income is correlated with the unobserved family effect?
- A. Random effects estimation
 - B) Ordinary least squares estimation
 - C) Weighted Least squares estimation
 - D) Fixed effects estimation
16. As the banking industry become more and more computerized, tellers find themselves with unneeded skill and face the problem unemployment. Such unemployed tellers would be classified as ____.
- A. Cyclical unemployment
 - B) Frictional unemployment
 - C) Structural unemployment
 - D) Natural unemployment
17. Both sides of the quantity theory of money identity represent _____.
- A. Inflation
 - B) Real GDP
 - C) Nominal GDP
 - D) The money supply
18. Changes in fiscal policy that raise the demand for goods and services shift _____.
- A. the IS curve to the right
 - B) the IS curve to the left
 - C) the LM curve to the right
 - D) B and C
19. Consider the system of equations [sem] According to the order condition, the second equation is ____.
- A) Unidentified
 - B) Over-identified

C) Just identified

D) It is not possible to tell whether the equation is identified since the question does not give the reduced form models

20. Consider the following system of equations (with time subscripts suppressed and using standard notation). [sem] According to the order condition, the first equation is

A) Over-identified

B) Unidentified

C) Just identified

D) It is not possible to tell whether the equation is identified since the question does not give the reduced form models

21. For a constant IS curve, an increase in price will cause ?

A) An increase in output

B) An Increase interest rate

C) An increase investment

D) A decrease interest rate

22. Function of money that permits the easy transfer of resources out of their less desired uses in to their more desired uses is _____.

A. Standard of Deferred payment

C) Unit of account

B) Store of value

D) Medium of Exchange

23. If initially the money supply is 1 trillion birr, velocity is 5, the price level is 1, and real GDP is 5 trillion birr, an increase in the money supply to 2 trillion birr _____.

A. Increases real GDP to 10 trillion birr.

C) Increases the price level to 2.

B) Causes velocity to fall to 2.5.

D) Increases the price level to 2 and velocity to 10.

24. If OLS is applied separately to each equation that is part of a simultaneous system, the resulting estimates will be _____.

A) Unbiased and consistent

B) Biased and inconsistent

C) Biased but consistent

D) It is impossible to apply OLS to equations that are part of a simultaneous system

25. If people expect nominal interest rates to be higher in the future, the expected return to bonds _____, and the demand for money _____.
- A) rises; increases
 - B) rises; decreases
 - C) falls; increases
 - D) falls; decreases
26. In a given country when net export (NX) > 0, then ?
- A) The country is net lender in the world financial market
 - B) The country is net borrowers in the world financial market
 - C) The country's national saving is lower than investment
 - D) It is an indication of trade deficit
27. In a liquidity trap, monetary policy has _____ effect on aggregate spending because a change in the money supply has _____ effect on interest rates.
- A) no; no
 - B) a small; a small
 - C) a large; a small
 - D) a small; a large
28. In a regression model, which of the following will be described using a binary variable?
- A) The volume of rainfall during a year
 - B) The percentage of humidity in air on a particular day
 - C) Whether it rained on a particular day or it did not
 - D) The concentration of dust particles in air
29. In an open economy if there is perfect capital mobility under flexible exchange rate _____.
- A) Monetary policy is highly effective
 - B) Fiscal policy is highly effective
 - C) Monetary policy is less effective
 - D) A and B

30. In developing countries real income measurement can be inaccurate because of all of the following , except_____?
- A) Quality improvements tend to be neglected in calculating real GDP
 - B) Real GDP incorporates the underground economy
 - C) Health and life expectancy are not directly included in real GDP
 - D) Political freedom and social justice are not included in real GDP
31. In international trade relations, a mutual concessions to lower tariffs and other barriers to trade, is the principle of _____.
- A) Protectionism
 - B) Predictability
 - C) Reciprocity
 - D) Conformity
32. In short, an increase in the real money supply shifts the LM schedule _____.
- A) Upward and to the right
 - B) downward and to the right
 - C) downward and to the left
 - D) none
33. In the context of simultaneous equations modelling, which of the following statements is true concerning an endogenous variable?
- A) Reduced form equations will not contain any endogenous variables on the RHS
 - B) The values of endogenous variables are determined outside the system
 - C) There can be fewer equations in the system than there are endogenous variables
 - D) Reduced form equations will contain only endogenous variables on the RHS
34. In the Keynesian point of view money demand is a function of _____.
- A) Price and income
 - B) Price and interest rate
 - C) Interest rate and level of income
 - D) Interest rate and money supply

35. In the Keynesian short run consumption function _____.
- A) Consumption is appositive function of income
 - B) The slop of the consumption curve is the average propensity to consume (APC)
 - C) The APC is less than the MPC
 - D) All
36. One best represents the basic point of departure between indigenous growth models and that of the Harrod-Domar ?
- A) Capital accumulation, including all new investments in land, physical equipment, and human resources.
 - B) Growth in population and thus, growth in the labor force.
 - C) Technological progress
 - D) The importance of education and human capital for growth.
37. One of the following Factors is not a determinant of national income _____.
- A) Quantity and Quality Factors of production
 - B) The state of technical know-how
 - C) Political stability:
 - D) None
38. One of the following is false ?
- A) Cambridge economists developed a classical theory of money demand in which the demand for money is proportional to nominal income
 - B) The velocity of money under the Keynesian framework is positively affected by interest rate
 - C) Precautionary demand for money marks complete break of Keynesian money demand theory from classicalists
 - D) Quantity theory of money provides the link between money supply and nominal income
39. One of the following is NOT a pre-operative expense of a project?
- A) Expenses incurred to conduct a market survey
 - B) Establishment expenses
 - C) Mortgage expenses
 - D) None of the above

40. One of the following justifies the use of Shadow Exchange Rate in Economic analysis of projects?
- A) Presence of undervalued official exchange rate
 - B) Presence of overvalued official exchange rate
 - C) Presence of domestic market distortion for traded goods and services
 - D) Both B and C
41. Suppose Journal of Ethiopian Studies headline reads 'government figures show that more children are in poverty than was the case ten years ago'. What can we be sure of from this ?
- A) More children are in households which find it harder to survive than was the case ten years ago
 - B) The incomes of poorer families have risen less over the last ten years than the incomes of average families
 - C) Many children are in households whose incomes are lower than they were ten years ago.
 - D) The very poorest households are poorer than they were ten years ago
42. The aggregate stock of domestic money owned by the public in a country is _____.
- A) Liquidity of money
 - B) Money demand
 - C) Money supply
 - D) Velocity of money
43. The arrangement where goods imported from trading partners in the developing world are subject to lower tariff rates than goods from other countries is referred to as _____.
- A) Normal Trade Relation status
 - B) Most Favored Nation status
 - C) Offshore Assembly Provisions
 - D) Generalized System of Preferences
44. The cars produced by the Japanese company Toyota in its factory in Washington DC _____ in U.S. GDP and _____ in U.S. GNP.
- A. count, count
 - B) count, do not count
 - C) do not count, count
 - D) do not count, do not count

45. The coins and notes that are in bank vaults are counted as _____.
- A) Currency outstanding but are subtracted from the money supply
 - B) Currency outstanding and are part of the money supply
 - C) Bank reserves and are part of the money supply
 - D) Bank reserves and are part of the monetary base
46. The economy is fully employed means?
- A) Zero frictional unemployment
 - B) zero structural unemployment
 - C) Zero cyclical unemployment
 - D) when structural unemployment is equal to frictional unemployment
47. The effect of the most-favored-nation (normal trade relations) clause is to _____.
- A) Eliminate all tariffs between countries
 - B) Increase all tariff rates between countries
 - C) Maintain a nondiscriminatory structure of tariffs
 - D) Maintain a discriminatory structure of tariffs
48. The Factor Price Equalization theorem (H-O-S theorem) states _____.
- A) Absolute and relative input price equalization
 - B) Rise in factor abundance
 - C) Proportional expansion of the output
 - D) Constant relative goods prices
49. The following factors causes for real wage rigidities except ?
- A) Minimum wage rate legislation
 - B) Perfect information about the market
 - C) Monopoly power of labor union
 - D) Efficiency wage hypothesis

50. The following simple model is used to determine the annual savings of an individual on the basis of his annual income and education $Savings = \beta_0 + \beta_1 Edu + \beta_2 Inc + u$. The variable 'Edu' takes a value of 1 if the person is educated and the variable 'Inc' measures the income of the individual. Refer to the model above. The benchmark group in this model is _____.
- A) the group of educated people
 - B) the group of individuals with a high income
 - C) the group of uneducated people
 - D) the group of individuals with a low income
51. The following simple model is used to determine the annual savings of an individual on the basis of his annual income and education. $Savings = \beta_0 + \beta_1 Edu + \beta_2 Inc + u$ Refer to this model. If $\beta_1 > 0$, _____.
- A) uneducated people have higher savings than those who are educated
 - B) individual with lower income have higher savings
 - C) individuals with lower income have higher savings
 - D) educated people have higher savings than those who are not educated
52. The main asset held by a central bank in its role as bankers bank is _____.
- A. Currency
 - B) Foreign exchange reserves
 - C) Loans
 - D) Securities
53. The main point of argument of the Lucas Critique in macroeconomic policy debates is mostly asserted on?
- A) Ignoring the policy effects on expectations
 - B) The traditional macro econometric models includes the effect of policies on expectations
 - C) The government should be refrain from implementing policies
 - D) Monetary policy instruments are better than fiscal policy instruments
54. The most volatile component of investment is _____.
- A. Public investment
 - B) Residential investment
 - C) Business fixed investment
 - D) Inventory investment
55. The movement to free international trade is most likely to generate short-term unemployment in which industries _____.
- A) Industries in which there are neither imports nor exports
 - B) Import-competing industries.

C) Industries that sell to domestic and foreign buyers

D) Industries that sell to only foreign buyers

56. The nominal exchange rate of the dollar is best defined as the number of units of the _____.

A) foreign currency that it takes to buy a unit of U.S. goods.

B) foreign goods that it takes to buy a unit of U.S. goods.

C) foreign currency that it takes to buy a dollar.

D) foreign currency that it takes to buy a unit of U.S. assets.

57. The order condition is _____.

A) A necessary but not sufficient condition for identification

B) A necessary and sufficient condition for identification

C) A sufficient but not necessary condition for identification

D) A condition that is neither necessary nor sufficient for identification

58. The primary objective of financial intermediaries in the financial market is _____.

A) To reduce transaction cost

B) To convert saving into investment

C) To lower risk

D) Financial specialization

59. The purchase and sale of government bonds by the central bank refers ?

A. Reserve requirement

C) The discount rate

B) Expanding the money supply

D) Open market operation

60. The sample size for a time series data set is the number of _____?

A) time periods over which we observe the variables of interest.=

B) variables being measured

C) time periods over which we observe the variables of interest less the number of variables being measured

D) time periods over which we observe the variables of interest plus the number of variables being measured

61. The secular deterioration of terms of trade in developing countries in Prebisch–Singer thesis is due to Except ?
- A) Income elasticity of demand for manufacturing goods is high
 - B) Developing countries dependence on primary commodity export
 - C) High income elasticity of demand for primary goods
 - D) Technological progress is primarily concentrated in manufacturing and industrial sector
62. The short-run Phillips Curve is a representation of ?
- A) Positive relationship between inflation rate and unemployment rate
 - B) Negative relationship between inflation rate and unemployment rate
 - C) Positive relationship between money demand and unemployment rate
 - D) Ineffectiveness of monetary policy
63. The size of the money multiplier is likely to decrease as _____.
- A) The fed conducts open market purchase
 - B) The fed decreases the reserve requirement
 - C) Banks decrease their excess reserve holdings
 - D) Interest rates decrease
64. The theory that protection benefits the scarce factor of production. This view flows from the Heckscher-Ohlin approach: if a country imports goods that make intensive use of its scarce factor, due to protection. So in a scarce factor country: the scarce factor benefits from protection and loses from trade liberalization.
- A. Stolper-Samuelson Theorem
 - B) Rybczynski Theorem
 - C) Heckscher Ohlin Theory
 - D) Metzler Paradox
65. Was T.R. Malthus correct in concluding that population growth will outstrip food production growth ?
- A) No, technological and institutional innovations have permitted food supplies to more than keep pace with population growth.
 - B) Yes, it is only because of widespread famines that population has not overwhelmed food supplies altogether
 - C) No, but it is only because of the introduction of genetically modified food that supplies have kept pace with population growth
 - D) No, but supplies are not likely to keep pace with population growth over the next 10 years.

66. What is investment tax credit ?

- A) A tax provision that reduces a firm's taxes by a certain amount for each dollar spent on capital goods
- B) A tax provision that increases a firm's taxes by a certain amount for each dollar spent on consumption goods
- C) A tax provision that reduces a firm's taxes by a certain amount for each dollar spent for purchase of securities
- D) A tax provision that reduces a firm's taxes by a certain amount for each dollar spent on consumption goods

67. What is liquidity trap ?

- A) A situation of high economic growth
- B) Extremely low interest rate
- C) low unemployment
- D) It is an indication of an effective monetary policy

68. What is meant by 'trickle-down effect' ?

- A) That economic growth will eventually (and automatically) bring benefits to the poor.
- B) That economic growth needs delivery systems to bring benefits to the poor.
- C) That economic growth needs to be controlled by the state
- D) That government should distribute consumption goods.

69. When a central bank sells securities in the open market, which of the following set of events is most likely to follow?

- A) An increase in the money supply, a decrease in interest rates, and an increase in aggregate demand
- B) An increase in the money supply, an increase in interest rates, and a decrease in aggregate demand
- C) An increase in interest rates, an increase in the government budget deficit, and a movement toward trade surplus
- D) A decrease in the money supply, an increase in interest rates, and a decrease in aggregate demand

70. When a project imports an input its boarder parity price is _____.

- A) CIF price plus transport and distribution costs
- B) FOB price plus transport and distribution costs
- C) CIF price minus transport and distribution costs
- D) None of the above

71. When several countries jointly impose common external tariffs, eliminate tariffs on each other, and eliminate barriers to the movement of labor and capital among themselves, they have formed a/an _____.
- A. Free Trade Area
 - B. Customs Union
 - C. Common Market
 - D. Economic Union
72. When will firms be in a position to shrink their capital stock in the process of investment ?
- A) If the marginal product of capital exceeds the cost of capital
 - B) If the marginal product of capital falls to the cost of capital
 - C) If the marginal product of capital equal to the marginal cost
 - D) If the price of capital equal to the average variable cost
73. Which function of money is mostly associated with transfer of purchasing power from the present to the future ?
- A) Money as a medium of exchange
 - B) Money as a store of value
 - C) Money as a unit of account
 - D) Money as a medium of transaction
74. Which of the following assumptions is required for obtaining unbiased fixed effect estimators?
- A) The errors are heteroskedastic.
 - B) The explanatory variables are strictly exogenous
 - C) The errors are serially correlated.
 - D) The unobserved effect is correlated with the explanatory variables.
75. Which of the following assumptions is required for obtaining unbiased random effect estimators?
- A) The unobserved effect is independent of all explanatory variables in all time periods
 - B) The idiosyncratic errors are heteroskedastic
 - C) The idiosyncratic errors are serially correlated
 - D) The unobserved effect is correlated with the explanatory variables
76. Which of the following correctly identifies a difference between cross-sectional data and time series data?
- A) Cross-sectional data is based on temporal ordering, whereas time series data is not
 - B) Cross-sectional data consists of only qualitative variables, whereas time series data consists of only quantitative variables
 - C) Time series data is based on temporal ordering, whereas cross-sectional data is not
 - D) Time series data consists of only qualitative variables, whereas cross-sectional data does not include qualitative variables

77. Which of the following is considered in social cost benefit analysis?

- A. Growth
- B. Equity
- C) Both A and B
- D) None

78. Which of the following is irrelevant to traded good?

- A) If it is exportable item its domestic cost of production is usually lower than its boarder price,
- B) Its use or production doesn't affect the country's net import and export position
- C) It might be capable of being imported or exported due to the national trade policies
- D) None of the above

79. Which of the following is not among the basic assumptions of the Harrod-Damar growth model ?

- A) The labor market grows against steady rate
- B) Savings and investments are a fixed ratio of total output
- C) Labor and capital are used in a fixed ratio
- D) The model assumes an inverse relationship between capital output ratio and total GDP

80. Which of the following is not among the common characteristics of developing countries ?

- A. Surplus Human Capital
- B) Weak Infrastructure
- C) Rapid Population Growth
- D) Low Per Capita Income

81. Which of the following is not among the major role of the government of a particular country to maintain economic development?

- A) Protecting the society from the violence and invasion of other independent societies
- B) Invested heavily in social and institutional infrastructure at the initial stage of nation building
- C) Provide the legal and social framework, maintain competition, provide public goods and services, redistribute income, correct for externalities, and stabilize the economy
- D) Design economic policies in favor high income group to boost un their investment capacity

82. Which of the following is not among the requirements for a person to be called unemployed ?

- A) A person should be in the labor force
- B) A person should be available for work
- C) A person should be actively looking for work
- D) A person should be employed

83. Which of the following is not functions of financial intermediaries?

- A) They discourage hoarding
- B) They bring instability in the capital market
- C) They promote saving and investment habits
- D) All financial intermediaries provide liquidity

84. Which of the following is not the major challenge that hinders third world economies from alleviating poverty and fostering economic growth?

- A) Declining debt
- B) Export marginalization
- C) Climate vulnerability
- D) Energy poverty

85. Which of the following is NOT the reason for using discounting in project analysis?

- A) Uncertainty about the future
- B) Income now could be invested and yield a positive return
- C) Inflation and fall of purchasing power of money
- D) None of the above

86. Which of the following is relevant about conversion factor?

- A) It helps to arrive at shadow price by multiplying it with the boarder price of traded item,
- B) It helps to arrive at shadow price by multiplying it with the market price of non-traded item,
- C) Both A and B
- D) None of them

87. Which of the following is relevant to the concept of Foreign exchange premium?

- A) It is defined as the proportion by which official exchange rate overstates the real value of local currency.
- B) It is defined as the proportion by which official exchange rate overstates the real value of non-traded goods and services relative to traded goods and services.
- C) Both A and B
- D) None of the above

88.Which of the following is the concern of market and demand analysis?

- A) The potential aggregate demand captured by the project.
- B) The market share enjoyed by the proposed project.
- C) Both A and B
- D) None of them

89.Which of the following is the disadvantage of the IRR method?

- A) It is tedious and cumbersome to calculate
- B) It cannot be easily understood by non-economists
- C) Both A and B above
- D) None of the above

90.Which of the following is true of dummy variables?

- A) A dummy variable takes a value of 0 or 1
- B) A dummy variable always takes a value less than 1
- C) A dummy variable always takes a value higher than 1
- D) A dummy variable takes a value of 1 or 10

91.Which of the following is useful tool to monitor the quality of project inputs and outputs?

- A) Direct supervision and inspection.
- B) Using external agencies to gauge them against a set of internationally or nationally recognized standards
- C) Both A and B
- D) None of the above

92.Which of the following justifies economic analysis of projects in less developed countries?

- A) Government intervention in goods market including internationally traded goods
- B) Government intervention on factor markets and capital markets
- C) The existence of public goods and externalities
- D) A combination of all of the above

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94. Which of the following project appraisal criteria helps to compare projects that have different size?
- A. NPV
 - B) IRR
 - C) BCR
 - D) All
95. Which of the following project worth measures helps to measure the efficiency of a project?
- A) Net Present Value (NPV)
 - B) Benefit Cost Ratio (BCR)
 - C) Internal rate of Return (IRR)
 - D) All
96. Which of the following statement best explains the Linear Stages of Development theory ?
- A) The theory was based on the fact that the right quantity and mixture of saving, investment and foreign aid were all necessary to enable Third World nations to proceed on an economic path.
 - B) The theory postulates that developed nations had readily available conceptual apparatus with which to analyze the process of economic growth in largely peasant, agrarian societies.
 - C) According to the theory development became largely depart with rapid aggregated economic growth.
 - D) The Lewis theory of development lied the basis of the theory of linear stages of development
97. Which of the following statement is false?
- A) The macroeconomic team cannot simultaneously target interest rate and the money supply
 - B) Money supply increases when the national bank finances budget deficit by selling bonds to the public
 - C) The money multiplier can be influenced by actions of the national bank, banks and the public
 - D) An open market sale decreases bank reserves
98. Which of the following types of variables cannot be included in a fixed effects model?
- A) Dummy variable
 - B) Time-constant independent variable
 - C) Discrete dependent variable
 - D) Time-varying independent variable

99. Which of the following would NOT cause a SHIFT in AS ?

- A) The level of government spending
- B) The costs of the factors of production
- C) Incentives
- D) The structure of the economy

100. Which one is not among the criticism of human development index (HDI) ?

- A) Includes detailed ecological considerations
- B) Lack of consideration of technological development
- C) Lack of attention to development from a global perspective
- D) Measurement error of the underlying statistics

101. Which one is not true about the Lewis theory of economic development ?

- A) According to Lewis model, the most important growth constraint in output was the lack of productive labor.
- B) The model was criticize owing to his notion of “surplus labour” since it was interpreted often as zero marginal productivity of agricultural labor and is highly unlikely.
- C) For Lewis, the major focus was on the labor transfer process and the level of employment and output growth in the modern sector.
- D) The model assumes the existence of a dual economy wherein the rural sector always has surplus labor

102. Which one of the following statement is true ?

- A) In the closed-economy IS–LM model, fiscal expansion leaves income at the same level
- B) In a small open economy with a floating exchange rate, an increase in government purchase and tax cut leaves income at the same level
- C) In a small open economy with a floating exchange rate, a decrease in government purchase and tax hikes leads income to increase
- D) In a small open economy with a floating exchange rate, an increase in government purchase and tax cut leads income to increase

103. Which one stresses on the ‘relative cost difference’ rather than ‘absolute cost difference’ between the goods as the basis for carrying out trade_____.

- A) Theory of absolute advantage
- B) Theory of comparative advantage
- C) Heckscher Ohlin Theory
- D) Theory of mercantilism

104. Which trade theory contends that a country that initially develops a consumer product and exports; and eventually become an importer of it, and may no longer manufacture the product unless innovate new product ____.
- A) Theory of Intra-Industry Trade
 - B) Theory of overlapping demands
 - C) Economies of scale theory
 - D) Product life cycle theory
105. Why would a country wish to pursue open trade policies ?
- A) To create more jobs in areas where the home country does have comparative advantage
 - B) To improve the environments by reducing pollution
 - C) To improve the quality of life for its citizens by giving them access to more products at lower prices and to increase tax revenues from the collection of tariffs
 - D) To strengthen its currency since more of it will be needed to buy imports
106. Which of the following is not true about the characteristic of economic growth ?
- A) It is a uni-dimensional approach that deals with the economic growth of a nation
 - B) It is an automatic process that may or may not require intervention from the government.
 - C) It is mostly applicable to developed economies.
 - D) Growth is usually calculated in nominal terms.

ANSWER KEY

1. B	2. B	3. A	4. C	5. C
6. B	7. B	8. B	9. D	10. A
11. D	12. D	13. B	14. B	15. D
16. C	17. C	18. A	19. C	20. B
21. B	22. A	23. C	24. C	25. C
26. A	27. A	28. C	29. A	30. B
31. C	32. B	33. A	34. C	35. A
36. D	37. D	38. C	39. A	40. D
41. B	42. C	43. D	44. B	45. D
46. C	47. C	48. A	49. B	50. C
51. D	52. C	53. A	54. D	55. B
56. C	57. A	58. B	59. D	60. A
61. C	62. B	63. D	64. A	65. A
66. A	67. B	68. A	69. D	70. A
71. C	72. B	73. B	74. B	75. A
76. C	77. B	78. B	79. D	80. A
81. D	82. D	83. B	84. A	85. D
86. B	87. C	88. C	89. A	90. A
91. C	92. D	93. D	94. B	95. B
96. D	97. B	98. B	99. A	100. A
101. A	102. D	103. B	104. D	105. A

106. D